

INSTITUTE OF ACTUARIES OF INDIA

Subject SP2 - Life Insurance

November 2024 Examination

INDICATIVE SOLUTION

Introduction

The indicative solution has been written by the Examiners with the aim of helping candidates. The solutions given are only indicative. It is realized that there could be other points as valid answers and examiner have given credit for any alternative approach or interpretation which they consider to be reasonable.

Solution 1:**a)**

- The surrender values should be in line with policyholder reasonable expectations.
- The surrender values should be set such that the surrendering and continuing policyholders are treated equitably.
- At early stages of the policy, the surrender values should be in line with the premiums paid and illustrations provided to policyholders.
- At later stages of the policy, the surrender values should be in line with the projected maturity values of the endowment assurance policy...
- .. and the asset shares associated with it.
- It is important to avoid making frequent changes to the surrender values to maintain stability and consistency.
- The surrender values should be determined in a way that avoids abrupt changes or inconsistencies based on the duration of the policy.
- The method used to calculate the surrender values should be straightforward and easily understandable.
- The surrender values and the factors considered in their determination should be clearly documented for transparency and reference purposes.
- The surrender values should be set in a way that it minimizes potential selection against the insurer.
- Should also consider the prevailing market conditions and the values that similar/competing policies in the market are offering.

(5)

b)Customers:

- The change is expected to increase surrender values (even if not at all durations) and hence providing better value for money to surrendering policyholders in the initial years.
- In the first year, particularly, NIL value on discontinuance was onerous for the policyholders. Having liquidity from first year and onwards shall prove to be beneficial for customers.
- On the flip side, while higher surrender value may be beneficial from liquidity position, it might tempt customers to actively exercise this choice, thus proving to be a detrimental stance in long term.
- The extent of benefit, nevertheless, shall be governed by the comparison of factor A and factor B.
- Given factor B is based on proxy asset share, it is likely to be closer to asset share of the policy and hence relatively high in later years.
- Resultantly, the regulatory change may benefit the customers in initial policy durations only.
- There may be anomaly in the benefits provided to already surrendered policies in recent past (before the implementation of new Regulations) and those surrendering post the implementation of the new surrender value. This may lead to disgruntled policyholders.
- For the new policyholders as well, change is positive from liquidity and flexibility standpoint.
- However, the surrender value in initial years is still lesser than the premiums paid, implying that policyholders exiting early will continue to be unhappy as they don't get their premiums back.
- However, if this means lower profits for insurers, the company may eventually reflect the change in pricing to restore profit margins, implying lower returns on future policies.
- The extent of the same, however, shall be governed by competitiveness and market dynamics.

Shareholders:

- Pay-out to be made on surrender is a liability for the company and increase in surrender values is expected to be financially onerous for the shareholders thereby increasing the strain in the initial year
- Assuming the premium rates charged to existing customers cannot be changed, the entire increased liability would be required to be met by shareholders.
- The impact on shareholders would be increase in reserves which could lead to higher capital requirement.
- In extreme cases could lead to infusion of capital
- Furthermore, if the local regulatory regime requires statutory reserves to be floored to surrender value, the impact can be significant.

- ... resulting in reduced profitability and valuation of the company.
- ... and this might result in fall in market price of the company (if listed).
- Furthermore, company can expect increase in surrender requests i.e., customers exercising higher liquidity and terminating their contract.
- This can result in loss of long-term profits expected from the contract, though there could be short term realization of surrender profits.
- If the number of surrenders is significant, expense allowances for the company might reduce.
- ... resulting in over-runs in maintenance expenses, which in turn can result in additional reserving requirements.
- On the other hand, better product proposition from customer proposition might boost sales of the company/industry in general.
- Higher volume can result in higher capital requirements in short term but higher profitability (in absolute terms or due to economies of scale) in longer run.
- In order to reduce the impact on profitability of shareholders, company management might take measures like reductions in distributor pay-outs or linking these to persistency or impose claw back of initial commission.
- The benefits to customers might also need to be altered to restore shareholder profitability.

(8)

c)

- The company should base their assumptions on the 'best estimate' of expected experience, considering analysis of historical data for the product.
- Though the experience analysis might not include any allowance for the expected change in withdrawals due to regulation change, it can serve as a starting point for the assumptions setting exercise.
- The policyholders may have higher likelihood of surrendering due to better surrender terms.
- The company may need to increase its assumptions to account for the expected increase in withdrawals.
- .. this shall impact assumptions for valuation of both the new and existing policies
- This requires estimating duration of the increase
- ...considering whether the long-term withdrawal rate will be affected or only a temporary increase is expected following the regulatory communication being highlighted in media, etc.
- The company will need data to estimate the quantum of expected increase in withdrawals.
- Internal data from previous regulatory changes or its business in other countries or from a foreign partner of the company, if any, can be utilized.
- Any variations in customer profiles should also be taken into consideration during the adjustment process. For example, sophisticated customers are likely to react more while customers who don't understand products thoroughly are unlikely to alter behaviour due to regulatory changes.
- Product characteristics like applicability of surrenders or relative difference between surrender factor A and factor B will govern the extent of changes expected.
- Industry data or estimates from other affected companies may also be considered.
- Additionally, internal expertise (of chief actuary or collection teams) and the views of consultants can be considered.
- Withdrawal assumptions at all durations may be increased or for initial years only, depending on the expectations of increased surrenders in early years.
- An additional margin (either in positive or negative direction) may be added to the increased assumptions to account for estimation errors.
- The choice of assumption depends on the availability and quality of data.
- Alternatively, the company has the option to exclude any adjustments for the expected increase in withdrawals from the assumptions and instead establish a separate reserve or provision specifically designated for these anticipated withdrawals.
- The calculation for this separate reserve or provision would follow a similar methodology, considering relevant data and weighting the increased assumptions based on the reserve or value of the policies at the respective durations.
- It is important to follow any professional guidance, if any, provided in this regard (for example, by local actuarial institute)

- Assumptions should also reflect any management actions planned in response to the increase in withdrawals
- If the increase in withdrawal assumption results in decrease of reserves, it shall be prudent to wait for actual data to emerge before releasing the reserve.

(10)

d) Expense assumptions:

- Surrenders can affect expense assumptions.
- If a significant number of policies are surrendered, the company may experience changes in per unit administrative/maintenance expenses.
- ... this may require adjustments to expense assumptions to accurately reflect the impact of the increased surrenders on the company's cost structure.
- The impact may vary by the size of company and in-force policy count. Since the company is 30 years old, the impact may not be as significant on account of economies of scale.

Interest Rate assumptions:

- Surrenders can also influence investment returns.
- When policies are surrendered, the company may need to liquidate investments at inopportune times to meet the surrender obligations.
- This can affect the investment performance and returns as assets duration are consistent with duration of liabilities to meet obligations to policyholders.
- Therefore, interest rate assumptions may need to be revised to reflect the potential changes in current yield and the expected yield on future cash flows due to increased surrenders.

Mortality assumptions:

- The increased surrenders may have an impact on mortality assumptions.
- If policyholders surrender their policies earlier than expected, the mortality assumptions may need to be revised
- ... to reflect the changing policyholder profile and the potential differences in mortality rates.
- However, the extent of impact depends on the expectations of significant differences in mortality rates of surrendering vs continuing portfolio.
- Resultantly, the impact on mortality assumptions is unlikely to be significant.

(6)

[29]**Solution 2:****a)**

- Policyholders may experience changes in their personal circumstances, such as getting married, changing jobs, or having additional children.
- If the original policy is linked to a mortgage, changes in the mortgage, such as moving to a new house can lead to policyholder wanting to take additional sum assured under the option
- Over time, inflation can erode the original value of policy benefits and policyholder wants to offset the impact of inflation

(2)

b)**Anti-Selection Risk:**

If the policyholder becomes a high-risk individual due to diagnosis of certain critical or terminal illness, he/she may want to exercise the option to increase cover as there is no medical examination.

Mitigations:

- The design of product should ensure that options are available to be exercised only on certain life events which justify the need of increasing insurance (example – marriage, having a child, etc.).

- The timing of exercise the option should be restricted. For example, within 6 months of marriage.

Over-Insurance Risk:

There is a possibility that overall coverage of an individual, due to exercising options, is more than the normally acceptable grids (based on, say, income multiples). There is a consequent risk of reinsurer denying the additional risk if treaty is breached.

Mitigations:

- Restrict the number of times option to enhance sum assured can be exercised.
- Restrict the maximum increase in sum assured per exercise of the option or overall maximum during lifetime of the contract.
- Ensure financial underwriting is done at time of option exercise.

(2)

c)

1. Renew a life insurance policy, such as a term assurance, at the end of its original term without requiring additional proof of health.

Reasons:

- The policyholder may be in poor health and wishes to extend the coverage for an additional period.
- The costs of obtaining a new policy are higher compared to the policy renewal costs.
- The policyholder may be unable to obtain a similar product elsewhere.
- The convenience of not having to search for a new policy is valued.
- The policy may be supporting a debt or mortgage, and the term of the debt or mortgage has been extended.
- Policyholder may have crossed maximum age to get a new policy.

2. Convert all or part of the sum assured from one contract to another, such as from term assurance to endowment assurance.

Reasons :

- The policyholder may now have the financial means to afford a savings contract, such as an endowment policy.
- The policyholder wishes to maintain the death cover while also having a savings element.
- Alternatively, the policyholder may now only require the death benefit and no longer desires the savings component.

3. Add a second life as a life insured at the standard premium rates based on the age and gender of the second life at the time of exercising the option.

Reasons :

- The policyholder may have recently married and wishes to include coverage for their spouse.
- There is a financial dependency on the second life, and the policyholder would experience a financial loss in the event of their death.

(4)

[8]

Solution 3:

- a) Investment Principle – A company should invest to maximise the overall returns on the assets, subject to the risk being within financial returns available to it.

Matching the nature of liabilities:

- A company should invest to match the nature of liabilities, including policyholder benefits (death, survival, surrender or maturity pay-outs) or expenses of the company.
- In unit linked contracts, benefits are determined directly by the value of investments underlying the contracts. Hence, the company ABC needs to invest policyholder funds in the asset class chosen by the customer.
- Furthermore, any changes requested by customers through fund switches need to be considered.
- Being a larger company, they may offer a wider range of unit-linked funds and hence asset classes.
- For endowment assurance, however, the benefits are majorly guaranteed in nature and hence fixed income securities would be best match.
- Both companies will ensure sufficient assets are held to meet short-term liabilities, like expenses or surrenders.
- Both companies are likely to invest in index-linked bonds to align with expenses.

Matching the term of liabilities:

- For fixed income investments, the term is likely to be 15 years bonds which replicates the duration of insurance contract.
- Such instruments should be readily available and may be highly liquid.
- However, if the company is writing regular or limited premium contracts, company might be subject to reinvestment risk and hence might consider derivative instruments.
- Such a requirement may not be there for unit-linked business and hence company ABC.
- Some amount may be kept in cash or invested in short-term deposits (bank FDs, certificate of deposits, etc.) to meet running expenses.
- In the unit-linked fund, the investment managers might have discretion basis the nature of fund without any restriction on matching liability (assuming investments in liquid bonds). For example, if the goal of the fund selected by customers is to have bet on long-term bond yields, investments shall be done accordingly.

Matching the currency of liabilities:

- The assets should be denominated in same currency as the liabilities to reduce currency risk.
- However, this shall not be a concern for unit linked investment, unless there are funds requiring investment in foreign equities.
- Some overseas assets may be held by ABC offering diversified funds to its customers.
- Some overseas assets may be held by XYZ to diversify risk and reduce exposure to asset performance in a single country subject to the risk appetite of the company.

Maximising returns for shareholders:

- Property and equity asset classes have the potential to give higher returns than debt in long-term. Hence, exposure can be taken in these asset classes to maximize shareholder returns.
- For company ABC, the exposure can be limited only to the extent of non-unit fund (i.e., expenses or policyholder guarantees). The size of such a fund is unlikely to be significant and hence such investments don't serve meaningful for ABC.
- For XYZ, however, exposure to high-risk high-return asset classes, within a reasonable risk limit, can help generate additional returns.

Risk Appetite:

- Within fixed-income securities, government bonds shall be the most preferred option for Company XYZ because benefits are guaranteed and hence risk needs to be minimized.
- Given the company is a large player, it is expected to have free assets which can provide cushion to absorb losses in case of stressed economic outcome. Hence, XYZ has the appetite to experiment with other asset classes.
- On the other hands, ABC has low free assets and relatively smaller discretion on investments, its risk appetite to mismatch would be significantly low.
- This shall be compounded if a large proportion of policyholder funds are invested in equities because inherent volatilities in the fund might impact solvency capital requirements for ABC.

Other Considerations:

- Cashflow and liquidity constraints will be considered by both companies.
- Practical factors like asset availability, availability of expertise to manage the asset class, and valuation suitability may impact strategy for both companies.
- Regulatory restrictions affect asset choices as there may be limits on types and amounts certain class of assets where investment can be made. This can depend on the product being sold and hence be different for both companies.

(10)

b)**Market Risk:**

- Which stress within market risk depends on the assets invested in.
- It is most probable that bonds shall be backing endowment assurance.
 - Hence, interest rate and credit spread would be significant risks.
 - It would also depend on how credit spread is accounted for while computing discount rate.
- Unit-linked product is likely to have equity exposure as well,
 - And hence equity stress might be relevant as major charges are expected to be fund-based.
- There may be some currency risk, though this is likely to be insignificant and hence can be ignored if not material.
- The significance of the risks depends on size of the business and relative proportion of business split between the two products.

Mortality Risk:

- Though it may not be the most significant one, mortality risk would be relevant in both the products.
- It would depend on the product features i.e., magnitude of death benefit offered in the products.
- Any reinsurance arrangements would also be factored in and could reduce the exposure and hence capital requirements.
- However, having reinsurance exposes the company to counterparty risk.
- Furthermore, there would be capital requirement emanating from catastrophe risk, but for these products, it would not be significant.
- Morbidity risk is unlikely to be significant unless the product has certain features/options introducing the risk.

Lapse Risk:

- Lapse would be a significant risk for both endowment and unit-linked business as future income stream from premium/charges would be at risk due to low persistency.

Expense Risk:

- This is likely to be significant, especially if there is a mismatch between unit-linked charges and expense.
- Inflation or higher than priced maintenance expense.

Others:

- There will be some operational risk like cyber-attack or breach of data privacy, etc., but the calculation of this may be dependent on a formula instead of specific stresses.
- Diversification benefit shall be allowed for in determining the final capital position.

(8)

[18]**Solution 4:**

- a) Outcomes of analyses of surplus may result in changes to the assumptions or models used for pricing or reserving, or changes to the ways in which the business and its risks are managed.

Impact on Pricing/Reserving:

- **Revising the pricing assumptions:** For example, premium rates can be increased in response to worsening of mortality experience. However, this shall improve the experience for future new business only, unless premiums on existing policies are reviewable.
- **Altering the product design:** For example, one or more product features can be removed if experience indicated that the option was misused/ used selectively against the company.
- **Changing the product mix / launching new products:** The company may decide to stop selling unprofitable lines of business and launch new products that have been successful for other companies.
- **Updating the reserving basis:** The reserving basis will normally be based on past experience, subject to other constraints, such as regulation. Change in reserving basis directly impacts the emergence of surplus.

Amendments to Risk Management Strategy:

- **Revising the underwriting processes:** For example, the level of underwriting may need to increase if mortality rates are high for products with a significant death benefit.
- **Revising reinsurance arrangements:** For example, volatile mortality experience could be smoothed by reducing the retention limits.
- **Changing the investment strategy:** Volatile investment surplus may indicate that assets are poorly matched to liabilities.
- **Improving risk management governance and controls:** The results of the various monitoring exercises will form the management information on which key decisions are made. The results may even change how these decisions are made, e.g., risk management committee might meet more often if results become more volatile.

Customer Engagement/Communication:

- **Enhancing customer retention activity:** This might improve persistency experience.
- **Changing the marketing message, target market and/or distribution channel:** For example, an analysis that shows poor new business volumes in one particular product may indicate that the advertising spend should be reviewed or that the product should be marketed in a different way.
- **Revising sales procedures** in terms of training and selection of distributors, wording and format of sales literature and the mechanics of any commission payments and clawback. Monitoring cashflows may indicate, for example, that one particular broker has a poor administrative process resulting in lengthy delays in premium receipt. A tightening of the premium collection procedures might help in this case.
- **Changing the with-profits surplus distribution approach:** Changes in the surplus emerging may lead to changes in the split between reversionary and terminal bonus and the extent that the company wishes to smooth.

Process Improvements:

- **Improving systems and data recording processes:** Improvements may be required to update the sophistication and granularity of experience analysis.
- **Improving actuarial models:** For example, the rating factors used in a pricing model should reflect the factors that appear to be most significant in the analysis.

(11)

b) Reasons of Expense Losses:

Expense surplus would be negative if the actual expenses are higher than the assumption used in calculating statutory reserves. *[0.5 mark for specifying this]*

Possible reasons of the same could be: *[Max. 2.5 marks for explaining this point]*

- The 'best estimate' expenses could be incorrectly calibrated, either due to model or method error or due to incorrect judgement.
- Lapses are higher than expected, resulting in lower expense allowances.
- The company could be under expense over run situation with the expense assumption not consistent with the actual expenses. Any expense over-run provision for the year may not be sufficient to meet the expenses during the year.
- While estimating the future expenses for assumption setting, actuarial team might have incorrectly classified some operating expense in the nature of capital expenditure, resulting in under-estimation of liabilities.
- Company might not have been able to renew some large administrative contracts at estimated rate.
- Any cost-cutting measures planned for the year might not have been executed efficiently.
- Any one-off costs, not allowed for in the expense assumption, could have incurred leading to expense losses.

Management Actions for Preventing Future Expense Losses:

- Revising the expense assumptions, and /or the margins for adverse deviations (MADs).
- Holding / Revisiting provisions for maintenance expense over-runs in line with projection of expenses for future years.
- Improving economies of scale such that the fixed cost can be rationalised.
- Attempt to improve persistency so that the in-force policy count improves.
- Automation of processes and digitisation to increase unit-cost economies.
- Auto underwriting tools like video or live chats with customers, instead of physical verification or manual underwriting.
- Restructuring/reduction of non-sales staff to attain an optimum sale to support ratio for improving overall productivity.
- Branch or channel closure/resizing where costs outweigh benefits but without impacting customer service.
- Reducing the rental expenses through revised lease agreements by moving to new premises or reducing the floor area occupied so as to optimise expense/premium ratio to desired levels.
- Consideration to create of digital/virtual branches.
- Optimising the fixed cost by increasing the variable cost factor where feasible e.g., building persistency target in sales reward and recognition program.

(6)

c)

- Activity based costing may be performed ascertaining the split between initial and maintenance expenses depending upon the activities undertaken.
- The aim of the exercise is to estimate the per-policy costs of administering each line of businesses.
- Expenses are split into a number of categories, such as initial, renewal, claims, and investment.
- An initial expense assumption would not be needed for the valuation.
- The company will investigate the recent experience and try to allocate all its expenses, firstly by line of business/product and then into one of these four categories.
- Exceptional or one-off costs may be ignored.
- Commission will be treated separately and loaded explicitly (although, again, up-front commission is not relevant to the valuation assumptions).
- The direct costs can be allocated to the respective lines of business.
- The indirect costs may be apportioned to the different products/ lines of business , say in same proportion as direct costs have been allocated.

- Similarly, investment costs may be expressed as a percentage of AUM.
- Drivers must be clearly defined to split the expenses between variable and fixed. The expenses will then be expressed as a proportion of premium, sum assured, reserves or per policy as best reflected in their behaviour.
- Appropriate MAD as per extant provisions of the relevant Regulations will have to be allowed for

(5)

[22]

Solution 5:

a) Advantages:

- Without-profits endowment assurance is a relatively simpler product, as opposed to other product categories like unit linked or with profits. Hence, it would be easier to start the business with.
- Customer:
 - Product is easy to explain to the customer, especially if written in plain vanilla form.
 - Other alternatives of money-back or loyalty additions can be avoided at start to keep a simple give-get proposition for customer.
 - It meets both investment and protection needs of the customer.
 - And can easily have rider attachments to enhance customer proposition.
- Administration:
 - Can be easily administered in-house, or
 - Opportunities to outsource administration would be many and hence prices would be competitive.
 - Development cost would be lower.
- Shareholder Value:
 - Endowment assurance is a savings-oriented product and hence can provide higher top-line as opposed to pure protection products, thereby aiding achievement of economies of scale.
 - The profit margins are expected to be on higher side.
- Risk Management:
 - Mortality risk is not as high as it would have been for a protection-oriented product.
 - Hence, even with limited data, odds of incorrect pricing are limited.
- Others:
 - Marketing and hence brand building becomes simpler.
 - Product may not require much capital, if, for example, risks are relatively low and the local regime requires risk-based solvency capital.
 - Obtaining reinsurance, if required, would be relatively straightforward.
 - Expenses might be lower because of lesser medical or financial underwriting requirements.

Disadvantages:

- Expenses:
 - Initial set-up costs may be high.
 - Distributors may demand higher commission.
 - If setting up systems is harder than expected, outsourcing/consulting costs may increase.
- Risk Management:
 - Interest rate risk – Given fully guaranteed, product poses a high risk of not being able to invest current or future premiums at priced rates.
 - Lapse risk – The product may be sensitive to lapses/surrenders and lack of experience shall aggravate the risk.
 - Resultantly, due to lack of data and expertise, the odds of incorrect pricing are higher.
 - Given that the product shall be fully guaranteed, the cost of incorrect pricing shall be borne throughout the lifetime of the contract.
- Competition:
 - If market of the product is very competitive, it would be difficult to match prices if bigger companies which have expense efficiencies.

- New Business Volumes:
 - May not be the most selling product in the market.
 - Customers and distributors not accustomed to guarantees.
 - Returns might be lower than that of participating or unit-linked products.
 - Low volumes may mean uncertain profits and company not being able to recoup fixed costs.
 - If volumes are too high, there might be a dent on capital.
 - Which may impact service standards and hence lead to brand loss.
- Others:
 - Given new product proposition, the reserving requirements might be stringent, resulting in potential higher capital requirements.
 - Tax Treatment for the product proposition may not be favourable.
 - Digital marketing may not work for such a product.
 - There may be a reliance on financial advisors, esp. for high-net-worth individuals, resulting in higher cost of acquisition.

(10)

b)

- Reinsurance can be used to limit the amount paid on any specific claim.
- It helps in limiting the total claims pay-out from a single event, such as a catastrophe.
- Reinsurance aids in reducing insurance parameter risk.
- It helps in minimizing claim pay-out fluctuations and volatility.
- Reinsurance provides technical assistance to insurers.
- It helps in reducing new business strain.
- Reinsurance can increase profits by reducing risk costs or increasing volumes.
- It allows insurers to reduce overall capital requirements.
- Reinsurance enables the aggregation of risks that the insurer cannot manage independently.
- It allows for the disaggregation of risks, separating them from a product to optimize risk margin and capital requirements.
- Reinsurance can be utilized to raise capital, such as through financial reinsurance.
- It allows for regulatory or tax arbitrage opportunities.

(4)

- c)** Retention limit refers to the maximum amount of risk retained by the cedant on an individual risk. When setting the retention limit, several general factors should be considered:
- Since it is a newly established company, the company's insurance risk appetite may be low, hence the retention level may be low.
 - Consider the expected impact of new business strain from the product.
 - The company would consider the expected profile of the without-profit endowment e.g. average benefit level.
 - The company would consider its solvency position and ability to absorb losses.
 - The level of company's free assets may be low, hence the retention may be low
 - Terms on which reinsurance can be obtained and the dependence of such terms on the retention limit.
 - The experience the company has in a product influences the retention limit:
 - The company may not be familiar with the underwriting of without-profit endowment assurance product, hence may prefer low level of retention.
 - Company's expertise in pricing the product is likely to be low compared to the reinsurer's expertise, hence may prefer low level of retention.
 - For the without-profit endowment product, the retention may be lower than the existing product they have experience in.
 - There may be adjustment of this retention limit as experience builds up, depending on what the contract with the reinsurer allows.
 - The level of any financial reinsurance may also influence the retention limit required.
 - Regulatory requirements regarding minimum/maximum retention levels.

- And the impact on the company's regulatory capital requirements when increasing or reducing the retention limit.
- Existence of a profit-sharing arrangement in the reinsurance treaty.
- Company's retention on its other products.

(5)

d)

- **Counterparty risk:** Risk of the reinsurer becoming insolvent, leaving the insurer responsible for settling the claims.
- **Legal risk:** Risk that the reinsurance treaty does not provide the expected coverage, leading to potential disputes and costly legal bills for the insurer.
- **Operational risk:** Ensuring timely settlement of claims, which relies on prompt payment from the reinsurer to avoid reputational risk and potential late payments.
- **Regulatory risk:** Risk of regulatory changes impacting the types of reinsurance arrangements allowed or introducing restrictions on reserve levels.

(4)

[23]
